Annex A

AREAS FOR CLARIFICATION

1. Definition of Good Credit Standing

Amended Net Metering Provision

Section 5. Qualifications. *All end-users who are in good credit standing in the payment of their electric bills to the DU; and new customers are qualified to participate in the Net-Metering program for Renewable Energy.*

This is to clarify that for purposes of Net-Metering applications, the definition of "**good credit standing**" shall be **an end-user with no unsettled or outstanding obligation with the Distribution Utility at the time of application.**

2. Cost of installation and location of the Renewable Energy Certificate (REC) meter

Amended Net Metering Provision

Section 10. Interconnection Set-Up. *The RE system shall be embedded in the QE's premises and shall be equipped with appropriate metering equipment. The DU shall furnish and install a bi-directional meter at the QE's premises, without prejudice to the DU's compliance with Section 34 of the "Rules to Govern the Implementation of Advanced Metering Infrastructure (AMI) by Distribution Utilities and Other ERC-Authorized Entities," promulgated on 18 May 2016, and other relevant Rules as may be promulgated by the Commission.*

All bi-directional meters and its installation shall be at the expense of the QE, except in the case of new customers, and QEs with existing separate meters required to be replaced with a bi-directional meter under "Rules to Govern the Implementation of Advanced Metering Infrastructure (AMI) by Distribution Utilities and other ERC - Authorized Entities," the cost thereof shall be on the account of the DU.

The DU shall also furnish and install, an REC meter in proximity to the RE System. *This is to measure the total RE generated for compliance with the Renewable Portfolio Standards (RPS) and to measure the actual energy consumption for the determination of the following:*

(a) *non-exemption from payment of the lifeline subsidy rate;*
(b) *payment of senior citizen subsidy rate; and*
(c) *other relevant subsidies mandated by law.*

The location of the above-mentioned meters shall be in accordance with Section 7.2.2 of the 2017 Philippine

Distribution Code, and any subsequent amendment thereto. (Emphasis supplied)

This is to clarify that the cost of an REC meter and its installation **shall be shouldered by the DU; while the wiring cost from the facility to the REC meter shall be shouldered by the QE.**

3. Location of the REC Meter

Amended Net Metering Provision

Section 10. Interconnection Set-Up.

xxx

The location of the above-mentioned meters shall be in accordance with Section 7.2.2 of the 2017 Philippine Distribution Code, and any subsequent amendment thereto. (Emphasis supplied)

Section 7.2.2 of the 2017 Philippine Distribution Code (2017 PDC) provides that:

7.2.2 Metering Point Location

7.2.2.1 The Metering Point shall be located at the Connection Point, unless the installation of the Metering Equipment is physically difficult, uneconomical or not practical.

7.2.2.2. If the Metering Point cannot be located in the Connection Point for justifiable reasons, Meters may be located in other locations or in accordance with relevant ERC issuances or guidelines.

7.2.2.3 If the Metering Point is not located at the Connection Point, an agreed procedure shall be established to account for the Energy loss between the Connection point and Metering Point.

Section 7.2.4.2 of the same Code further provides that:

Active and Demand metering shall be provided for each User ***at each Connection Point*** *and shall be* ***accessible for inspection and reading.*** (Emphasis supplied)

Likewise, Section 2.11.1 of the Amended Distribution Services and Open Access Rules (DSOAR) states that:

> ***Billing meters shall be provided for each User at each Connection Point*** *or at the primary side of a dedicated transformer and shall be accessible for inspection and reading.* ***If the meter cannot be installed at the Connection Point*** *or at the primary side of a dedicated transformer due to the Distribution System's design construction or for other reasons, the* ***meter shall be installed as close as possible to the Connection Point.*** *xxx*
>
> *xxx* ***Meters shall be located on the outside wall of the building*** *xxx* (Emphasis supplied)

Thus, section 10 of the Amended NM Rules is consistent with the 2017 PDC and the DSOAR, which clearly provides that Meters should be located at the Connection Point **or at least near it**.

Considering that Section 7.2.2.2 of the 2017 PDC allows for a metering location other than the Connection Point subject to justifiable reasons, it is further clarified that, to ensure ease in the installation and reading of meters, the REC meter shall be located at the connection point or at least near the connection point.

4. Meter Ownership

> **Amended Net Metering Provision**
>
> *Section 10. Interconnection Set-Up.*
>
> ***xxx***
>
> ***All bi-directional meters and its installation shall be at the expense of the QE, except in the case of new customers, and QEs with existing separate meters required to be replaced with a bi-directional meter under "Rules to Govern the Implementation of Advanced Metering Infrastructure (AMI) by Distribution Utilities and other ERC - Authorized Entities," the cost thereof shall be on the account of the DU.*** (Emphasis supplied)

Under Section 10 of the Amended Rules, the ERC identified three (3) types of customers, depending on who shall be bear the cost of the meter and its installation, to wit:

1. End users who wish to install an RE facility in their premises – QE to shoulder;

2. New Customers as defined in the Amended Net-Metering Rules – DU to shoulder; and

3. Existing QEs with two (2) separate uni-directional meters in their premises and required by Section 34 of the Rules to Govern the Implementation of Advanced Metering Infrastructure (AMI) by Distribution Utilities and Other ERC-Authorized Entities to replace its two (2) uni-directional meters with a bi-directional meter – DU to shoulder.

To clarify, all meters shall be charged to the DU except for the type 1 customers, where the difference between the old meter and the new bi-directional meter shall be borne by the End-User.

jre/clb/som

ERC
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